

BOARD STRATEGY PITCH • PLP CAPSTONE 2026

Stop losing money on tanker waiting fees

Automated demurrage billing and revenue
assurance for Kenya Pipeline Company

Brian Mugambi

Lead Architect, KPC Revenue Assurance team



The ask: approve KES 12M to stop the leak

Base case: we recover half of an estimated KES 45M a year in unbilled waiting fees.

KES 19.0M

net savings a year

after KES 3.5M running cost*

375%

return over 3 years

on KES 12M invested*

7.6

months to pay back

base case*



Even if we recover only a quarter, it still pays back in 18.6 months and returns 94% over 3 years.

*Planning assumptions. The missed-fee estimate is modelled, not audited. Full workings on slide 6 and in the appendix.



Where KPC's revenue quietly leaks



About KES 45M a year goes unbilled*

Paper gate passes and separate spreadsheets mean legitimate waiting fees are never charged.



45 to 60 days to settle

Customers dispute hand-made timesheets, so invoices drag on for weeks.



Scales not linked to billing

Weighbridge data and finance journals are separate, leaving weak evidence for auditors.

*Modelled estimate, to be validated against KPC audit data.

Dwell time becomes an audited invoice



1. Capture

Gate and weighbridge records for every truck



2. Apply

Each customer's free time, grace period and rates



3. Check

Six compliance rules score every charge



4. Route

Auto-approve, send to a person, or reject



5. Post

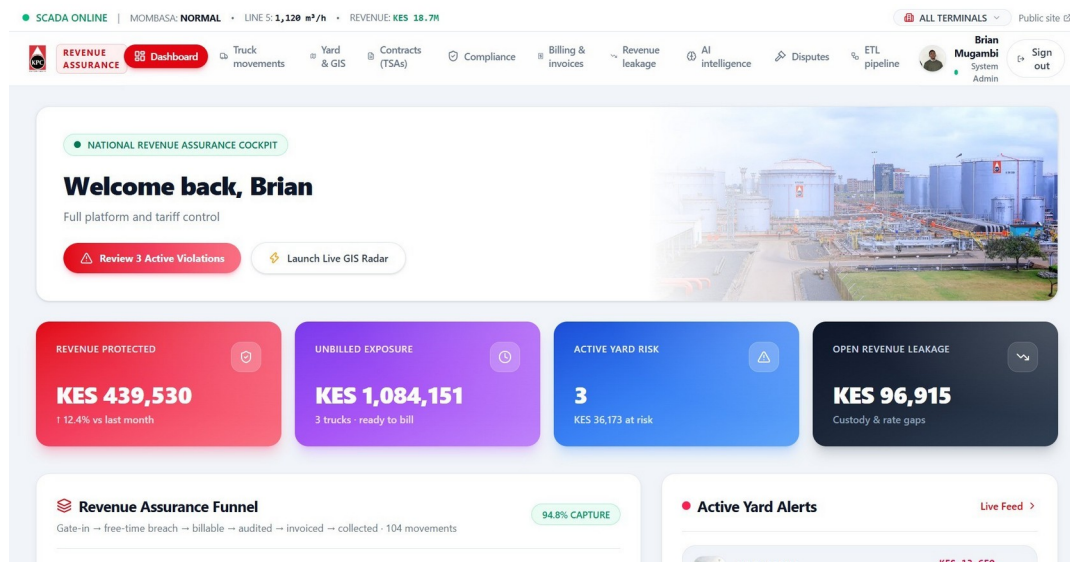
SAP-ready invoice with a tamper-proof audit trail

Same inputs, same charge, every time

Unusual charges go to a person, never to a guess

Demo simulates the SAP push; live link is scoped in Phase 2

It already works: the platform is live



KPC Revenue Assurance dashboard (seeded demo data)

demurrage-revenue-platform.vercel.app

Demo figures are illustrative, from the platform's seeded dataset. They are not audited financials.

94.8%

of charges captured

4.2 days

to settle, vs 45 to 60 days

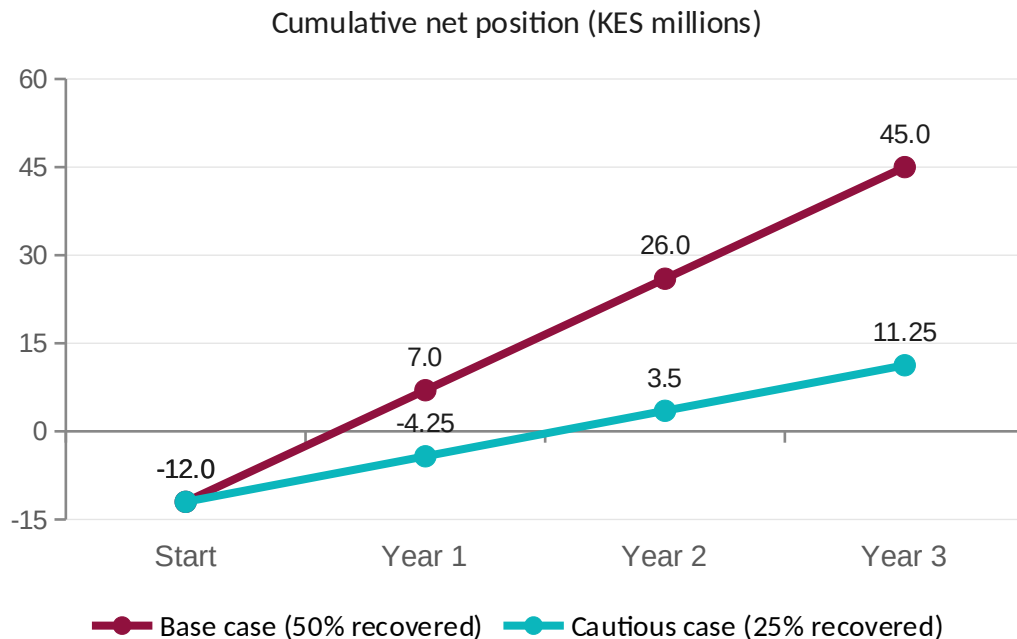
99.98%

arithmetic accuracy

6 rules

check every charge

The numbers: positive even in the cautious case

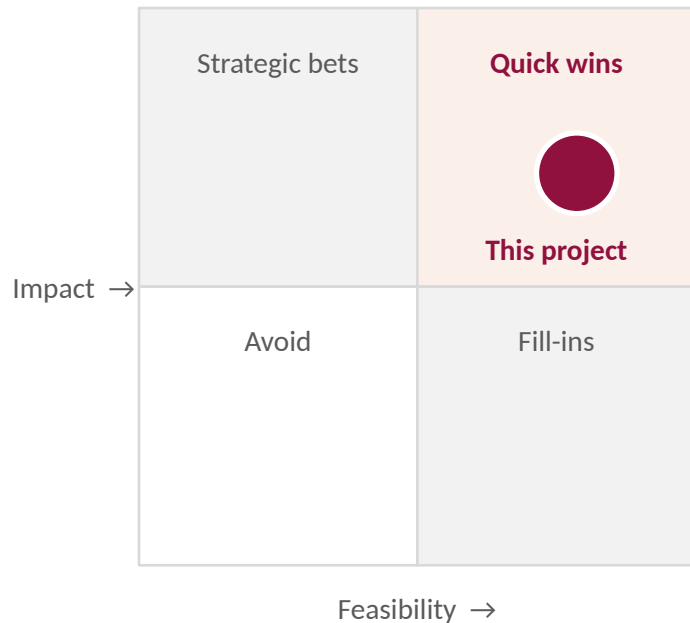


	Base	Cautious
Share recovered	50%	25%
Annual savings	KES 19.00M	KES 7.75M
3-year net gain	KES 45.00M	KES 11.25M
ROI	375%	94%
Payback	7.6 mo	18.6 mo

Annual savings = KES 45M × share recovered – KES 3.5M running cost. ROI = (3 years of savings – KES 12M) ÷ KES 12M.

Costs are planning assumptions pending a Finance quote. Not counted: faster cash and lower audit effort.

A quick win that builds toward prediction



A staged rollout with a decision gate



Days 0 to 60

Prove it

- Finance and Internal Audit check the KES 45M estimate against real depot records
- Go live at the Nakuru depot (PS25)
- Release 1 of funding



Months 3 to 6

Extend it

- Add Eldoret (PS27) and Kisumu (PS28)
- Connect KRA cargo tracking and EPRA feeds
- Scope the live SAP link with KPC IT



Months 6 to 12

Scale it

- Bring all 40+ oil marketing companies onto the live tariff engine
- Report recovered revenue to Finance monthly
- Review results and plan the next phase

Decision gate at day 60: Release 2 happens only if Finance confirms savings of at least KES 7.75M a year.

Proposed timeline; dates depend on Board approval and access to depot data.

Two risks, and how we handle them



Risk 1: The savings estimate is not yet proven

The KES 45M figure is modelled, and the demo runs on sample data.

Our response: Finance and Internal Audit test it against real depot records before the main funding is released. We plan around the cautious case.



Risk 2: Depot data and customer acceptance

Gate and weighbridge records may arrive late or incomplete, and some customers may resist automatic billing.

Our response: Roll out one depot at a time, send every unusual charge to a person, and give customers the full record behind each charge.

What we are not claiming: the demo figures are illustrative, the SAP push is simulated in the demo, and the KES 12M and KES 3.5M costs are planning estimates awaiting quotes.

Recommendation: GO

Approve Phase 2 funding of KES 12M (planning estimate), released in two steps:

1

Release 1

Finance-led check of the missed-fee estimate and the Nakuru start-up.

2

Release 2

Eldoret, Kisumu, regulator connections and all 40+ customers, once Step 1 confirms at least KES 7.75M a year.

The cost of waiting

KES 3.75M

estimated unbilled every month we delay (KES 45M ÷ 12, a modelled estimate)

Expected result: KES 19.0M a year recovered, payback in about 8 months.

Thank you. Questions?

The KPC Revenue Assurance team



Brian Mugambi

Lead Architect



Carson Sila

SCADA Telemetry Lead



Charlene Kamunyu

Billing and Revenue
Assurance



Emmanuel Brian

Finance and AI Lead



Brian Sigei

Compliance Auditor

See it live: demurrage-revenue-platform.vercel.app

Backup slides follow: questions the Board may ask, and the financial model.

Backup: questions the Board may ask

Is the KES 45M real?

It is a modelled estimate. Finance and Internal Audit test it against real depot records in the first 60 days, before Release 2.

What if we recover only a quarter?

Annual savings are KES 7.75M, ROI is 94% and payback is 18.6 months. Still positive.

Is the SAP link live?

Not yet. The demo produces SAP-ready postings with a reference number. A live connection is scoped with KPC IT and priced by quote.

Can it scale past 5 depots?

The same engine runs all 5 terminals in the demo, and a new depot is configuration, not a rebuild. Phase 2 adds 3 depots and 40+ customers.

What if customers dispute charges?

Every charge keeps an audit signature and its full record, so disputes are settled with evidence. Unusual charges get human review first.

What if the data feeds fail?

Incomplete records route to a person instead of billing automatically, and we roll out one depot at a time to catch problems early.

Backup: financial model and assumptions

KES millions	Base	Cautious	Where it comes from
Missed fees per year	45.00	45.00	Project estimate, modelled, not audited
Share recovered	50%	25%	Assumption (demo showed 94.8% capture)
Annual savings before costs	22.50	11.25	45 × share recovered
Running cost per year	3.50	3.50	Assumption, Finance quote needed
Annual savings	19.00	7.75	Savings before costs – running cost
One-time cost	12.00	12.00	Assumption, Finance quote needed
3-year savings	57.00	23.25	Annual savings × 3
3-year net gain	45.00	11.25	3-year savings – one-time cost
ROI	375%	94%	Net gain ÷ one-time cost × 100
Payback	7.6 months	18.6 months	One-time cost ÷ annual savings × 12

Not counted, so real value may be higher: cash arriving in about 4 days instead of 45 to 60, and lower audit effort.